# How Capitalism Produces Political Backlash

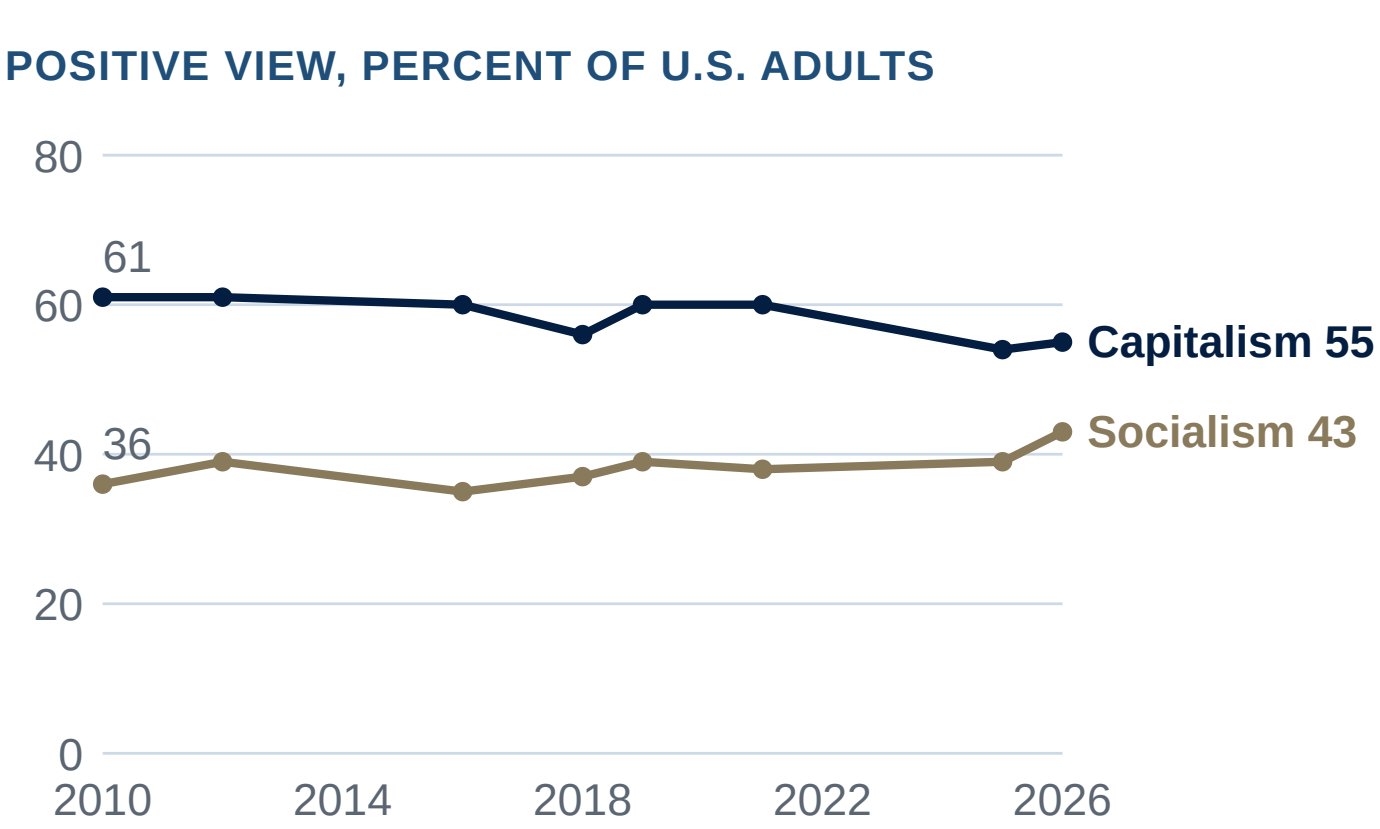
**Stephen Weymouth**
Dean’s Professor

GEORGETOWN UNIVERSITY




On September 15, 2008, Lehman Brothers filed the largest bankruptcy in U.S. history. Within weeks governments were rescuing the banks.

# Capitalism’s popularity has fallen in the U.S.




Gallup, Socialism’s Positive Rating Tops 40% for First Time, September 2026.

Small business still has a 95 percent positive rating, while big business has fallen to 35 percent.

> Why would people in the world’s largest market economy think less of capitalism?

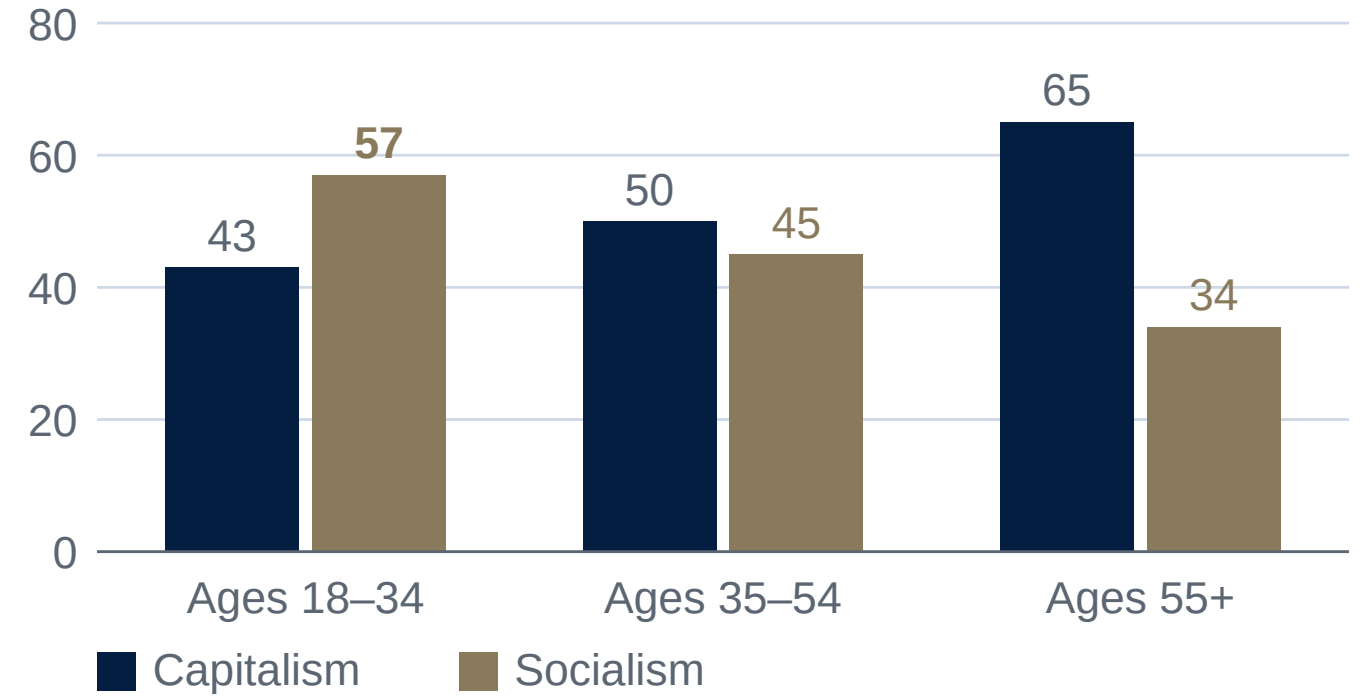
# Young adults now rate socialism above capitalism

Among adults under 30, capitalism's positive rating fell from 68 percent in 2010 to 45 percent in 2018.

From 2010 to 2026 Democrats' rating of capitalism fell from 51 to 35 percent, while Republicans' rose.

> Today's young adults grew up during the crisis or the slow recovery that followed it.

**POSITIVE VIEW BY AGE, 2026, PERCENT**




Gallup, Socialism's Positive Rating Tops 40% for First Time, September 2026.

YOUR IB VOICE

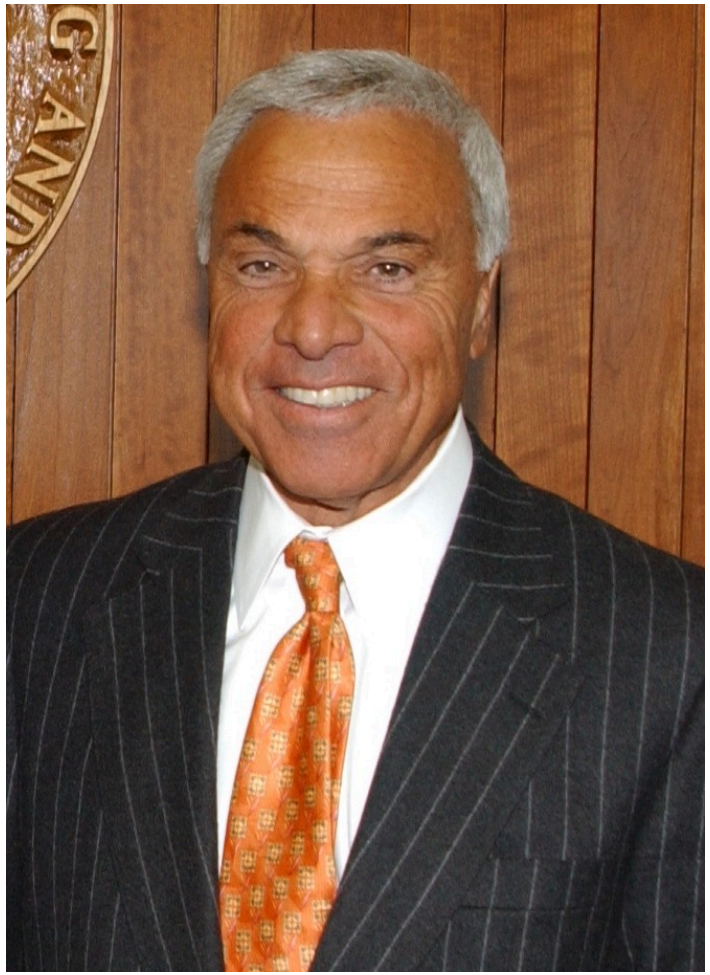
THE CRISIS AND CAPITALISM

Positive views of capitalism in the U.S. have slipped since 2010, most among the young. Using one piece of evidence from Wolf, explain how the 2008 financial crisis could have changed the way people judge capitalism.

**10 minutes · Individual · Notes permitted**

# What caused the financial crisis?

# Countrywide made loans its co-founder called toxic



Ron Bennett, HUD, Angelo Mozilo, 2002 · Wikimedia Commons, public domain

Angelo Mozilo’s Countrywide made one in six U.S. home loans in 2007, many to borrowers with weak credit.

> It was paid when it made and sold a loan, before anyone learned whether the borrower could repay.

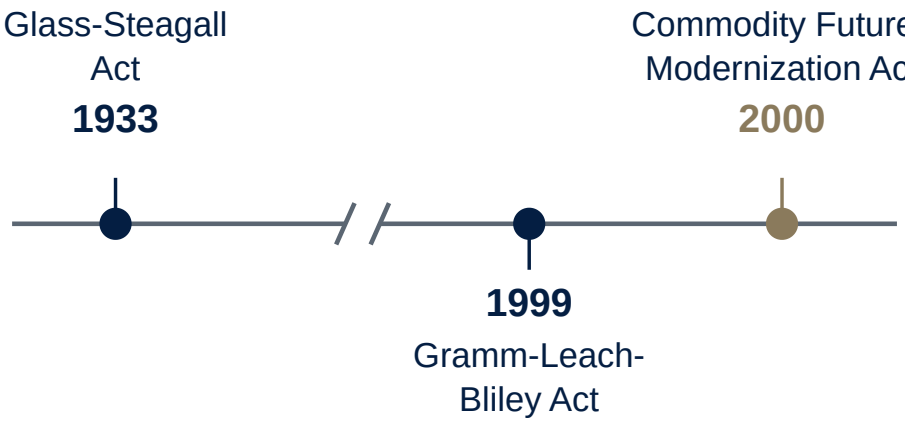
# Congress let banks join securities firms

From 1933 the Glass-Steagall Act kept banks with insured deposits apart from securities firms.

In 1999 Clinton signed a law letting one company own both.

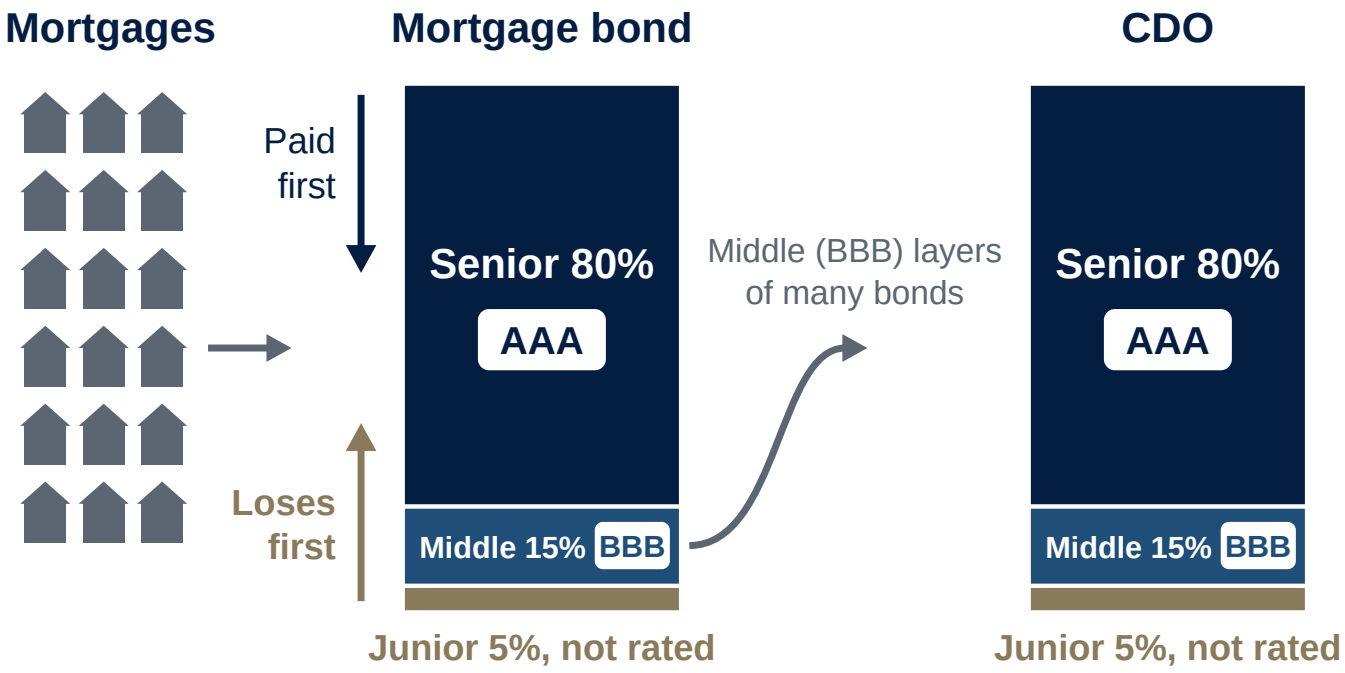
A 2000 law left *credit default swaps*, insurance on bonds, unregulated, so AIG sold them without setting money aside.

> Trading losses could now threaten banks with government-insured deposits.




Original timeline; Congress.gov.

# Banks turned risky mortgages into AAA bonds



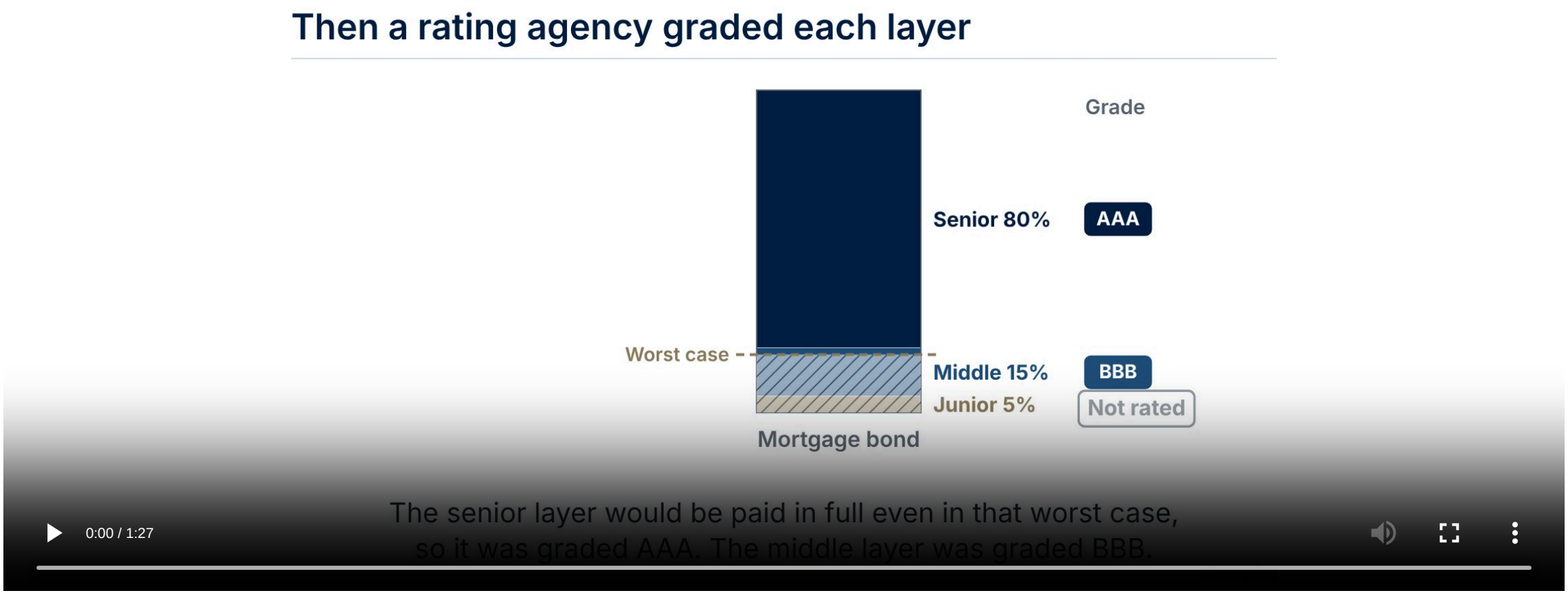

Original diagram with illustrative sizes, after Financial Crisis Inquiry Commission, *Final Report*, 2011, chapters 7–8.

A trust sold the bonds in layers paid in order, and an agency hired by the bank graded each layer.

Most of each bond was graded AAA because losses reached it last.

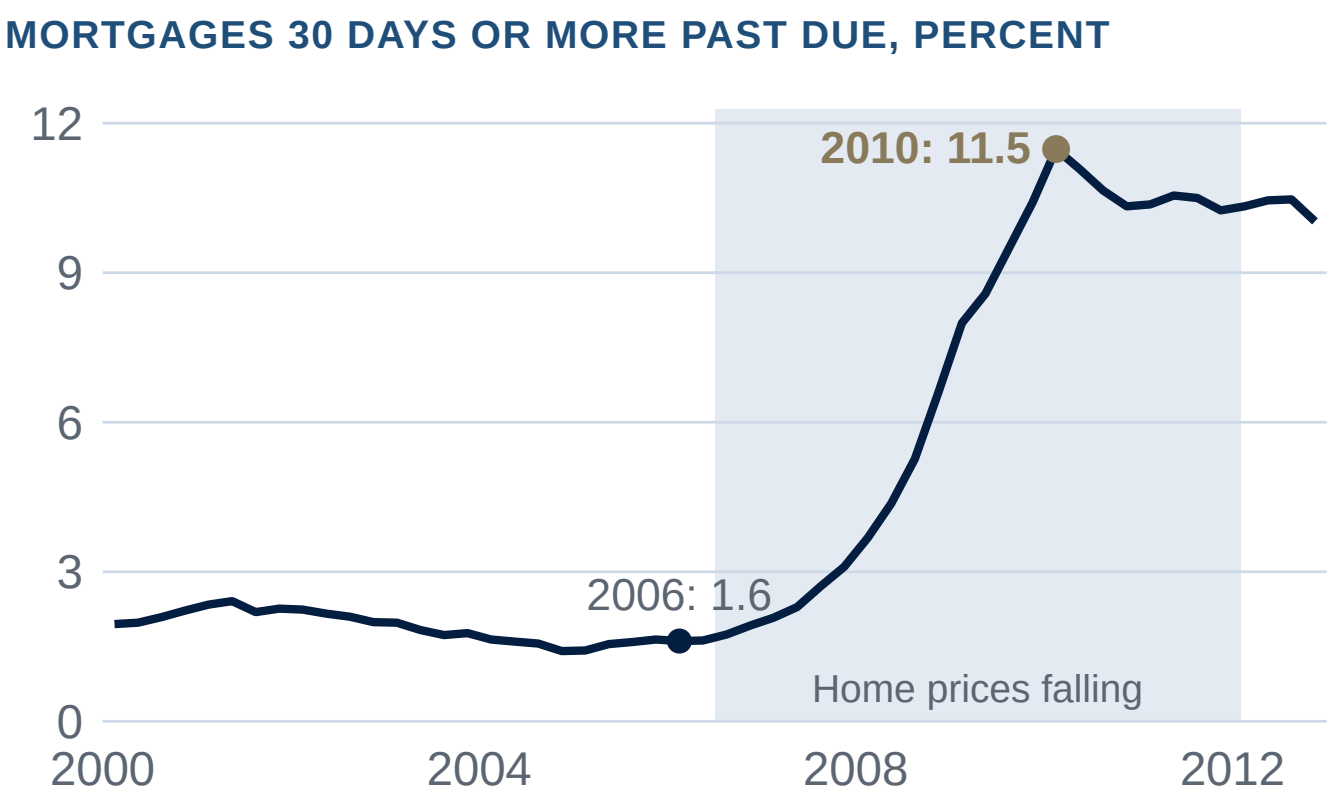
A *collateralized debt obligation* (CDO) bundled the middle layers of many bonds, and most of the CDO was graded AAA.

# The order of payment came first, then the grades




Original animation with illustrative amounts, after Financial Crisis Inquiry Commission, *Final Report*, 2011, chapters 7–8.

# Home prices fell, and defaults rose everywhere




Board of Governors of the Federal Reserve System, delinquency rate on single-family mortgages, via FRED, 2026: all commercial banks, quarterly.

Many borrowers planned to refinance or sell before their payments rose, which worked only while prices kept rising.

When prices fell after 2006, defaults rose everywhere at once, and losses reached the AAA layers.

> Spreading bonds across lenders and regions protected against a local bust, not a national one.

# Banks paid for AAA bonds with short-term loans

Funds set up by banks bought these AAA bonds with money borrowed for days or weeks.

When the bonds lost value, lenders stopped renewing the loans, and the banks behind the funds took the losses.

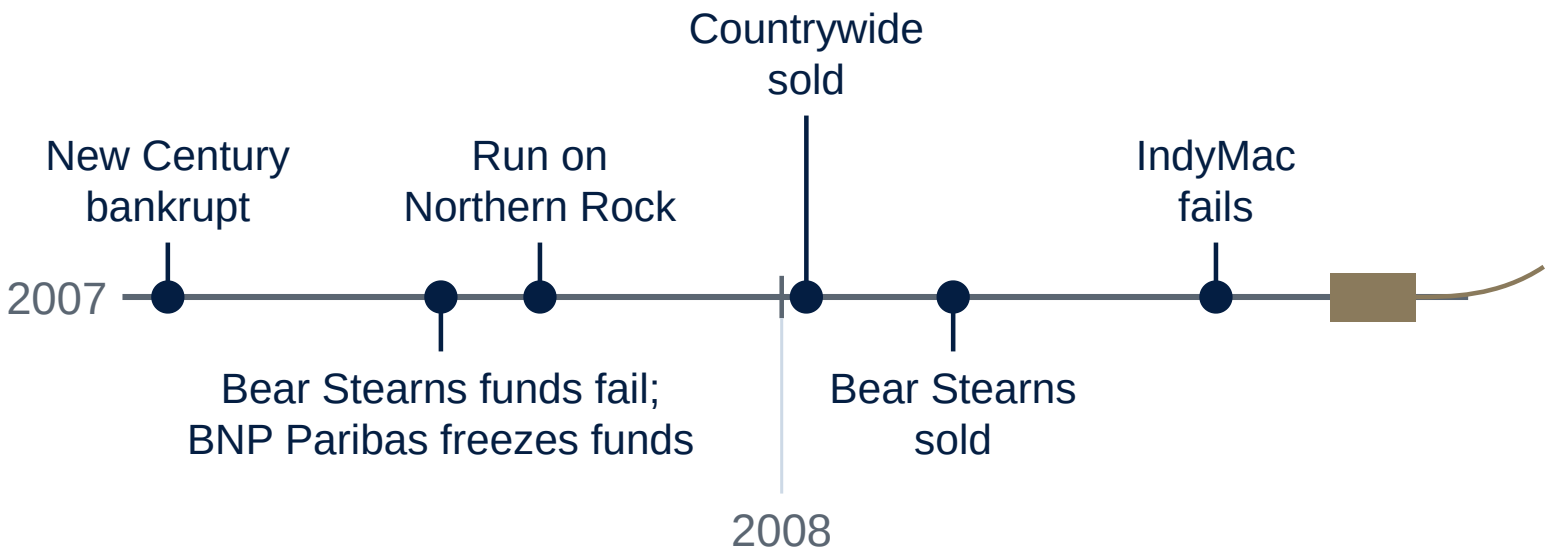
> A *run* is a rush by lenders to get their money out before others do.

**SHORT-TERM BORROWING BY BANK FUNDS, BILLIONS OF DOLLARS**




Board of Governors of the Federal Reserve System, asset-backed commercial paper outstanding, via FRED, 2026: weekly.

# The failures came one after another




**Four weeks in 2008**

Sept. 7: Fannie Mae and Freddie Mac taken over
Sept. 15: Lehman fails; Merrill sold
Sept. 16: AIG rescued
Sept. 25: Washington Mutual seized
Oct. 3: Wachovia sold

Original timeline from SEC filings and FDIC, FHFA, and Federal Reserve announcements, 2007–2008.

From 2004 the SEC let the largest investment banks set their capital with their own models. They borrowed up to $40 for every $1 of their own, so losing under 3 percent of their assets could wipe them out.

> When Lehman failed, lenders pulled back from banks everywhere, and the failures became a panic.

# Every failing firm had bet on housing

| FIRM | WHAT SANK IT | WHAT HAPPENED |
|---|---|---|
| **Countrywide** | Risky loans it made, then lost its funding | Sold to Bank of America, Jan. 2008 |
| **Bear Stearns** | Mortgage bonds bought with overnight loans | Sold to JPMorgan, Mar. 2008 |
| **Fannie Mae, Freddie Mac** | Mortgage guarantees on too little capital | Government takeover, Sept. 2008 |
| **Lehman Brothers** | Mortgage bonds and commercial property | Bankrupt, Sept. 15, 2008 |
| **Merrill Lynch** | **Top layers of its own CDOs** | Sold to Bank of America, Sept. 2008 |
| **AIG** | **Credit default swaps insuring CDOs** | Fed loan, Sept. 16, 2008 |
| **Washington Mutual** | Risky loans; depositors pulled out | Seized, sold to JPMorgan, Sept. 2008 |
| **Citigroup** | **CDOs and its off-books funds** | Government rescues, Nov. 2008 |

Highlighted: losses mainly on CDOs

Original table from company filings and FDIC, FHFA, Treasury, and Federal Reserve announcements, 2008; Financial Crisis Inquiry Commission, *Final Report*, 2011.

Each held assets tied to home prices, with little capital of its own.

> When one firm failed, lenders could not tell which others held the same losses.

# Governments rescued banks when lending froze




Federal Reserve Bank of St. Louis, TED spread, via FRED, 2026: three-month LIBOR minus the three-month Treasury bill rate, daily.

After Lehman failed, banks charged one another far more than the government paid, fearing the borrower would fail.

Losses had used up much of the banks' capital, so the government bought shares in them and guaranteed their new borrowing.

> Officials feared that more failures would cut off credit to every firm and household.

# U.S. stocks lost more than half their value

Investors sold as bank failures and a deep recession threatened companies' profits.

Stocks kept falling until March 2009, months after the rescues, and did not regain their 2007 peak until March 2013.

> The stock market fell because of the bank panic, not the other way around.

**S&P 500 STOCK INDEX, DAILY CLOSE**




S&P Dow Jones Indices, S&P 500 index, via Yahoo Finance, 2026: daily close.




On September 14, 2007, savers lined up at Northern Rock, a British lender cut off when the markets it borrowed from froze.

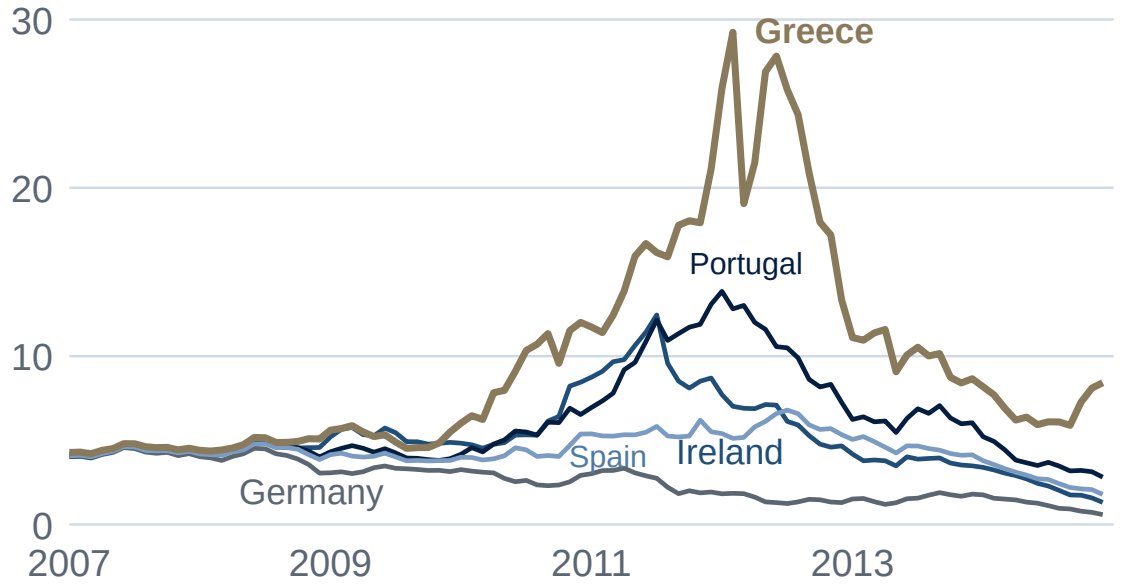
# The bank crisis became a government debt crisis

Rescuing its banks pushed Ireland's 2010 deficit to 32 percent of GDP.

Banks held their own governments' bonds, so falling bond prices weakened the banks those governments backed.

> Euro governments cannot print their own currency, so borrowing costs rose until the European Central Bank pledged in 2012 to do "whatever it takes."

**TEN-YEAR GOVERNMENT BOND YIELD, PERCENT**




OECD via Federal Reserve Bank of St. Louis, FRED, 2026: ten-year government bond yields.

# What built the bubble, what popped it, why did it spread, and why did it matter?

Lenders sold risky loans into bonds rated AAA, and looser rules let banks take on the risk, so credit poured into housing.

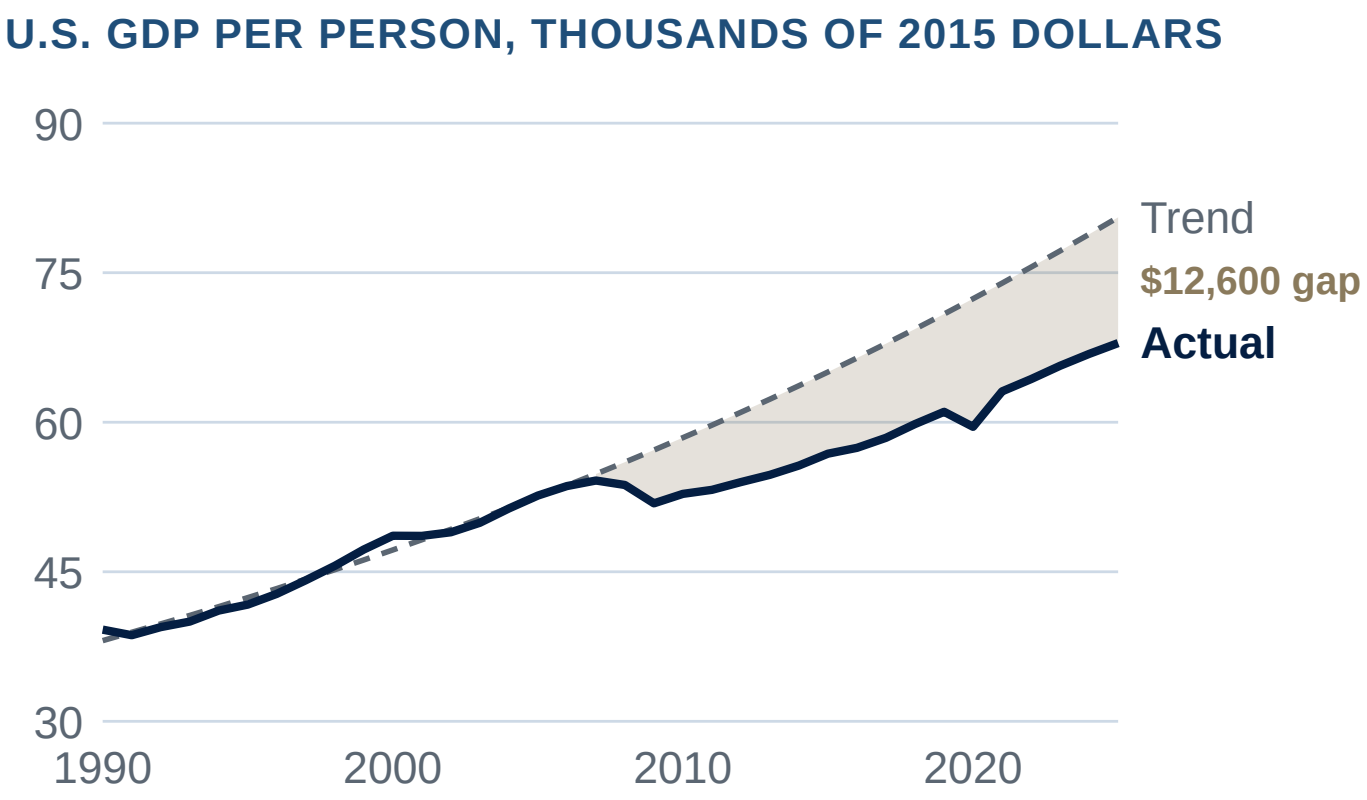
Home prices fell from 2006, and defaults hit mortgage bonds everywhere at once.

Banks had funded the bonds with short-term loans and little capital, so losses set off a run that spread worldwide.

Governments rescued banks to keep credit flowing, and in the euro area the rescues became a government debt crisis.

# What did the crisis cost households?

# Output per person never returned to its old path




World Bank, World Development Indicators, 2026: GDP per capita, constant 2015 dollars; trend fitted to 1990–2007.

After 2009 the U.S. economy grew again, but never fast enough to return to its old path.

The U.K. fell furthest behind; Wolf judges its loss larger and longer lasting than either world war or the Great Depression caused.

> The crisis lowered the path that living standards were expected to follow, not just output for a year or two.

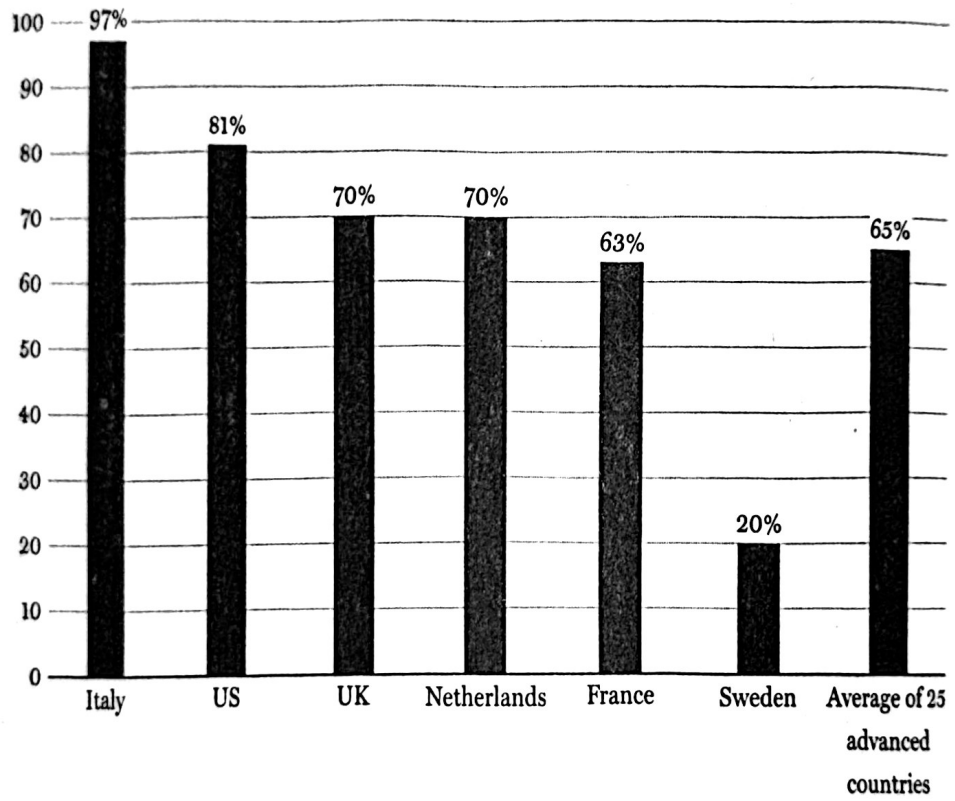
# Most households' market incomes stopped rising

On average across 25 rich countries, about two-thirds of households earned no more from work and savings, after inflation, in 2014 than in 2005.

These are incomes before taxes and government transfers.

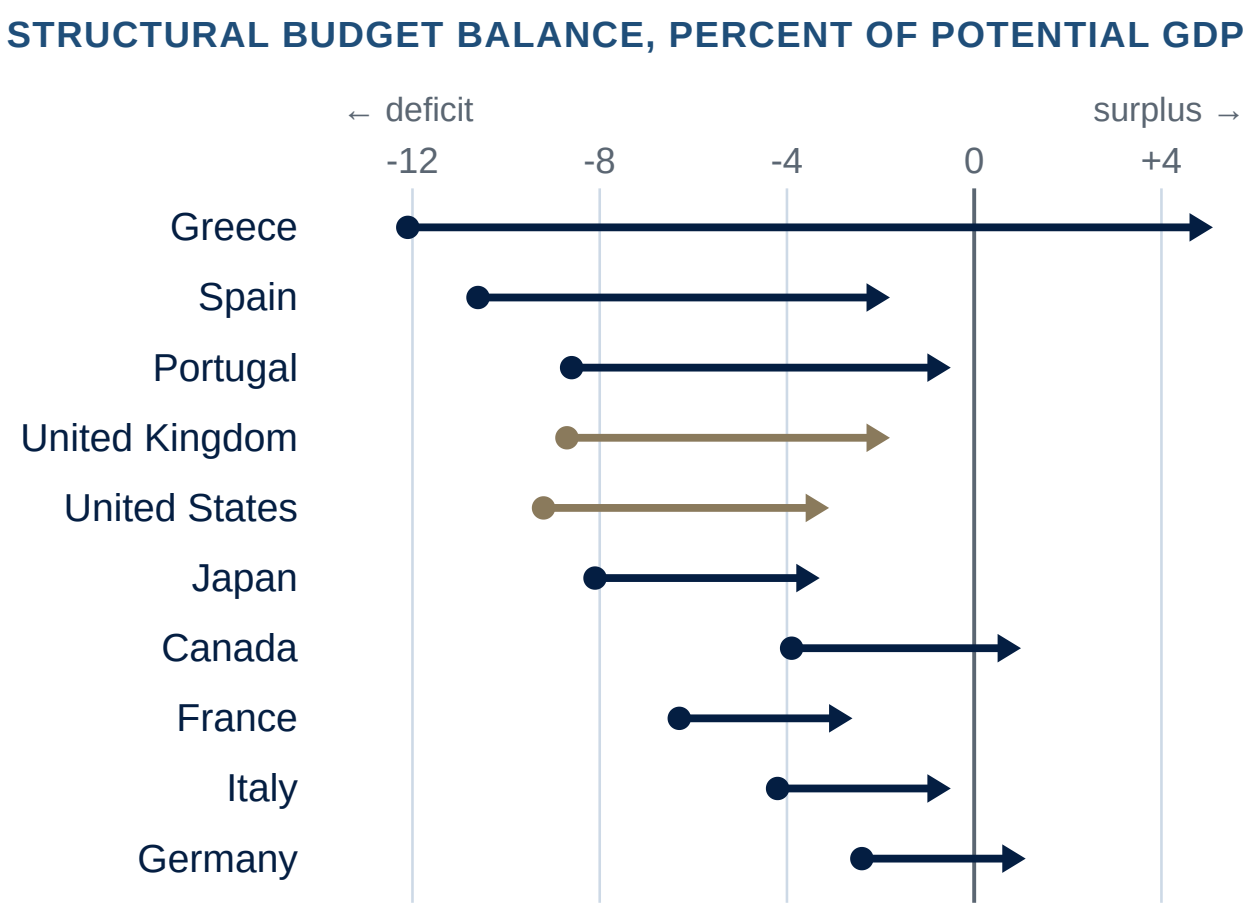
> *Economic stagnation* is a long period in which output and most people's real incomes barely grow.

FIGURE 22. PROPORTION OF HOUSEHOLDS WITH FLAT OR FALLING REAL INCOMES FROM WAGES AND CAPITAL, 2005–14 (PERCENT)
(Source: McKinsey Global Institute)




Wolf, *The Crisis of Democratic Capitalism*, 2023, Figure 22, p. 102, from McKinsey Global Institute.

# Governments cut deficits during a weak recovery




Redrawn from Wolf, *The Crisis of Democratic Capitalism*, 2023, Figure 24, p. 104 (IMF data); values read from the figure.

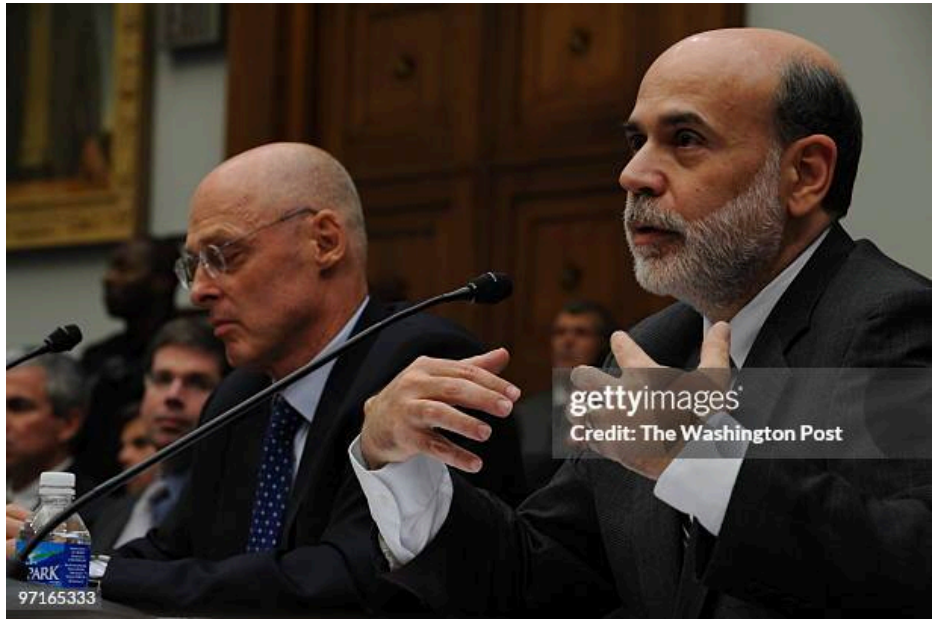
Each arrow runs from a government's largest structural deficit between 2007 and 2017, which for most countries came in 2009–11, to its smallest deficit afterward, mostly in 2013–17.

A structural deficit is the deficit a government would run if the economy were at full capacity.

> *Austerity* is cutting spending or raising taxes to shrink a budget deficit.

# Why did the crisis cost so much trust?

# Banks were rescued while families lost homes



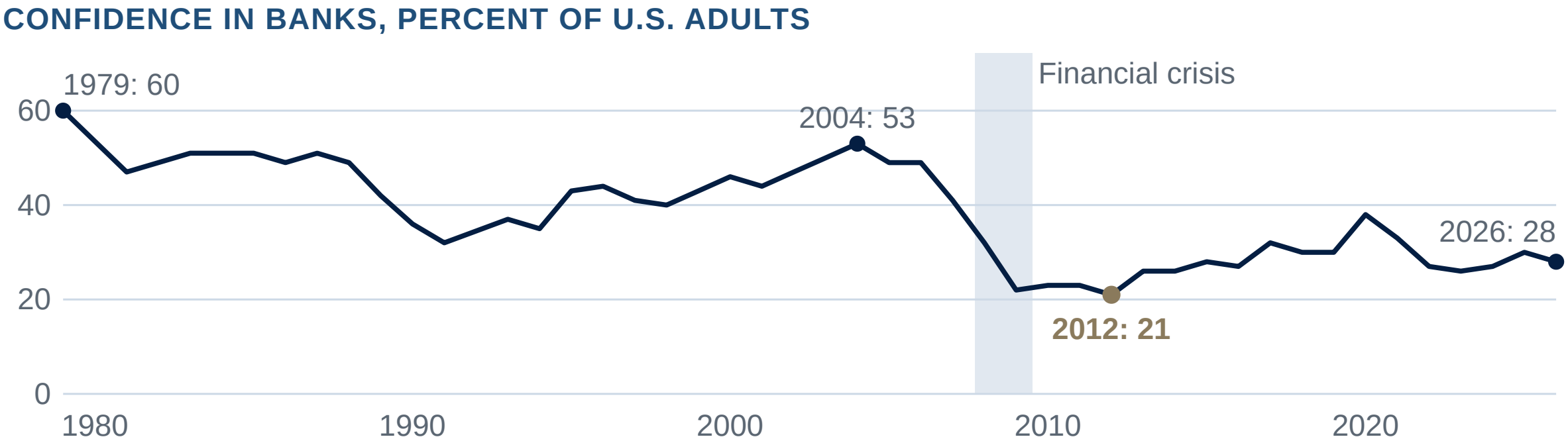

Paulson and Bernanke, Congressional Testimony, 2008

In October 2008 Congress authorized $700 billion to rescue financial firms.

By 2013 about 4.8 million homes had been lost to foreclosure, yet only one Wall Street executive went to prison (Credit Suisse's global head of structured credit).

> A *corporate bailout* uses public money or guarantees to keep a failing firm alive.

# Confidence in banks collapsed after 2008

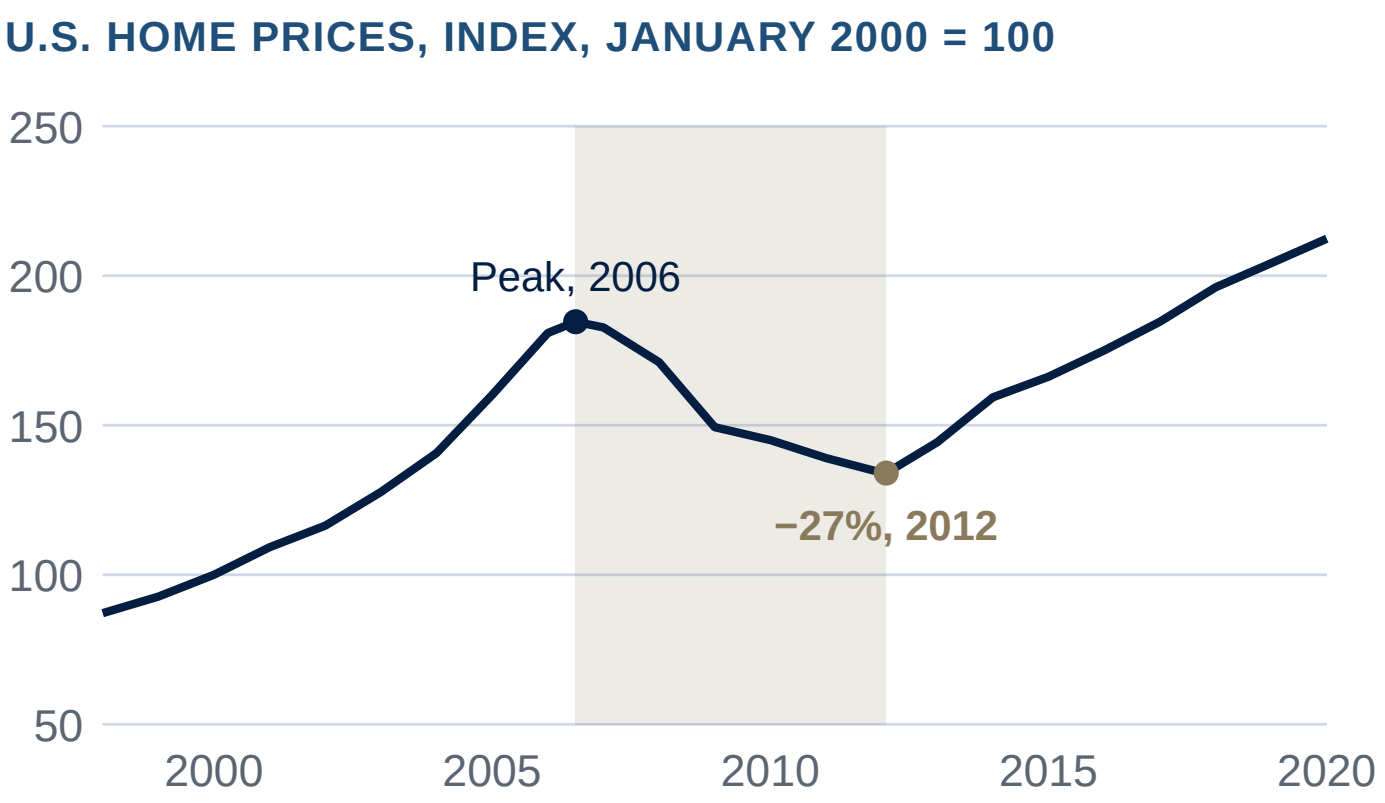



Gallup, Confidence in Institutions, 2026: banks.

Confidence in banks halved between 2007 and 2009 and has not returned to its precrisis level.

> Wolf argues that a visible failure, followed by a rescue of those blamed for it, caused the distrust.

# Home prices fell by more than a quarter




S&P Dow Jones Indices, S&P CoreLogic Case-Shiller U.S. National Home Price Index, via FRED, 2026.

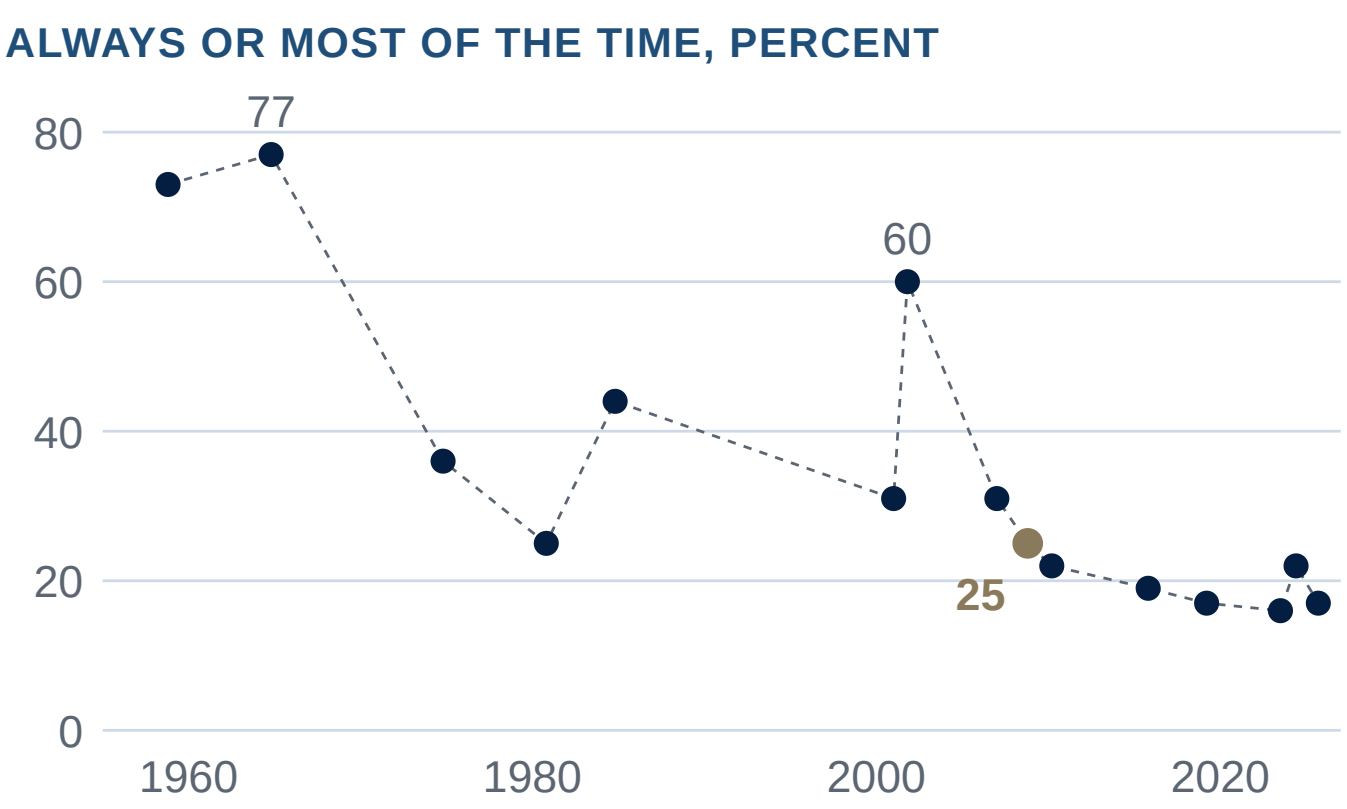
For most homeowners the house was their largest asset, so the fall erased much of their wealth.

Owners who owed more than their homes were worth could not sell or refinance, and millions lost them to foreclosure.

> The housing crash turned a banking crisis into a loss that ordinary families felt directly.

The Treasury got back more from the banks it rescued than it put in, while TARP grants to help homeowners avoid foreclosure cost $31 billion. Why did the bank rescue still cost so much trust?

# Trust in the federal government has stayed low




Pew Research Center, Public Trust in Government: 1958–2025, 2025; 2008 is the average of three polls.

Trust in the federal government fell long before 2008, and the crisis kept it near its lowest levels.

> *Democratic capitalism* pairs a market economy with elected government, and each depends on citizens' trust.
>
> How can the crisis of democratic capitalism be overcome?

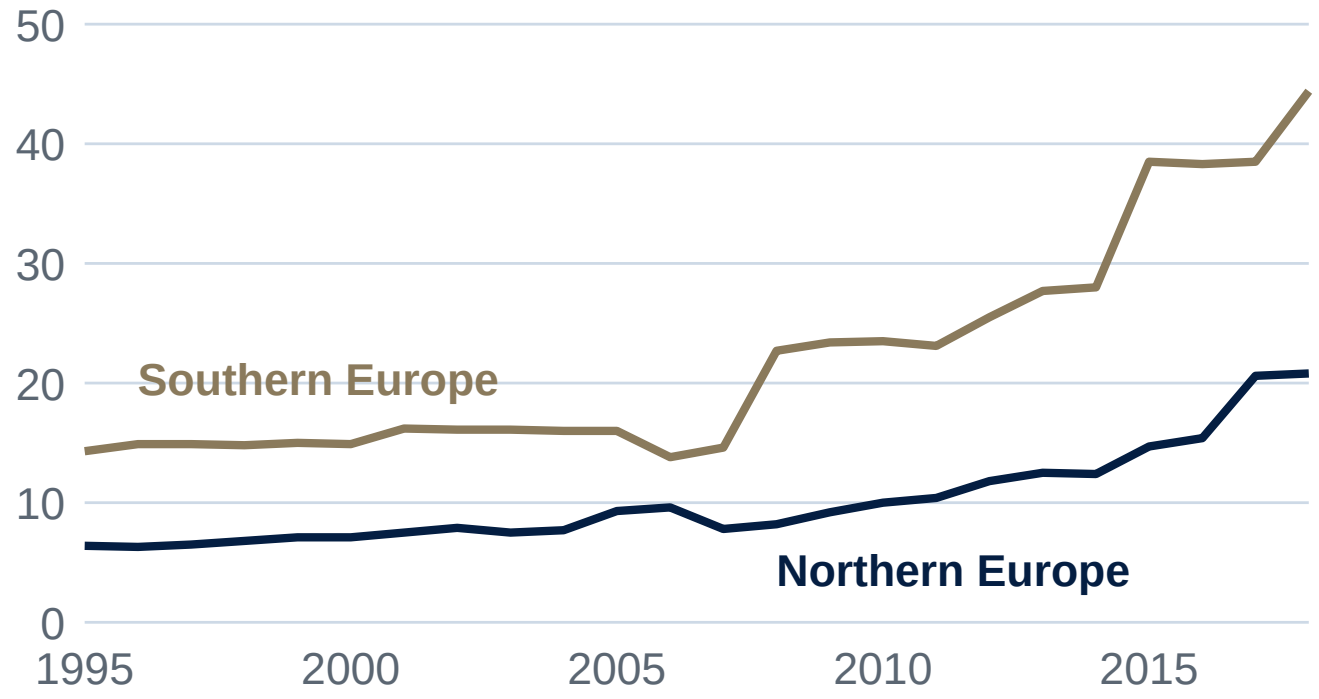



In 2011 “Occupy Wall Street” protesters camped near Wall Street and said they spoke for the 99 percent.

# Why did the backlash come after 2008?

# Populist parties in Europe gained after the crisis

**POPULIST PARTIES' VOTE SHARE, PERCENT**




Redrawn from Wolf, *The Crisis of Democratic Capitalism*, 2023, Figure 25, p. 108 (data from Roberto Foa); values read from the figure.

In southern Europe, where the euro crisis hit hardest, populist support was flat for a decade and rose most after that crisis began.

> *Populism* casts politics as a contest between a virtuous people and a corrupt elite.

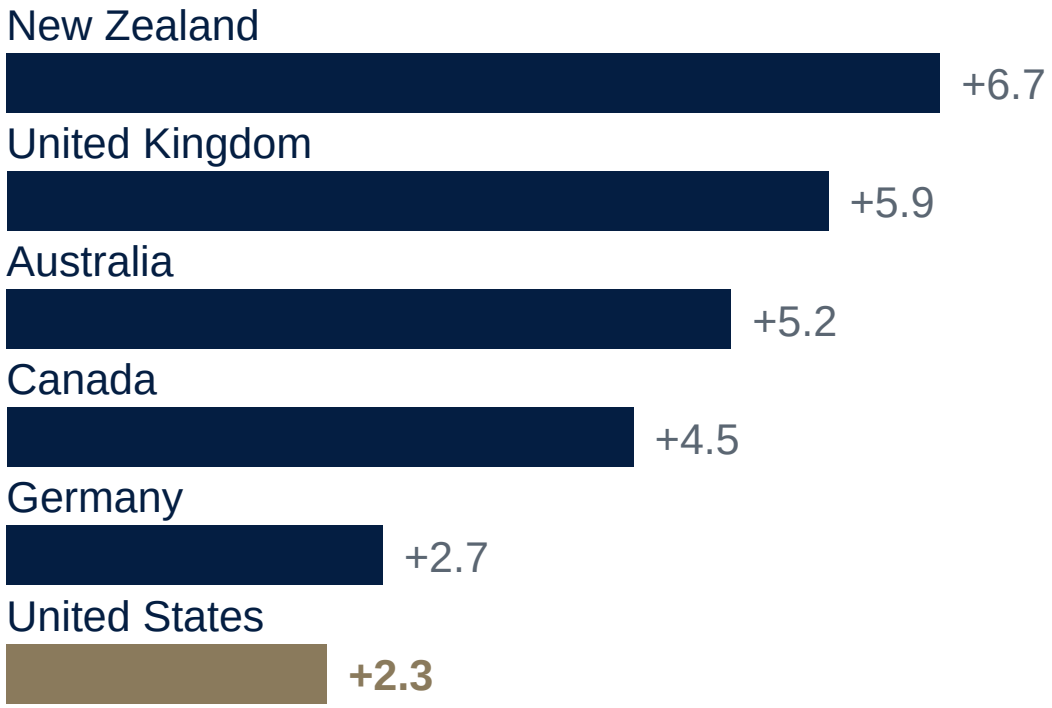
# The foreign-born share grew less in the U.S.

Political scientists Inglehart and Norris call populism a cultural backlash against social change.

Wolf replies that these changes ran for decades, so culture alone cannot explain why the backlash came when it did.

> Wolf argues that immigration became far more political in the U.S. only after the crisis.

**CHANGE IN FOREIGN-BORN SHARE, 2000–15, POINTS**




World Bank, World Development Indicators, 2026: international migrant stock, from UN DESA.



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Going to extremes: Politics after financial crises, 1870–2014

Manuel Funke [a], Moritz Schularick [b,d,e,*], Christoph Trebesch [c,d,e]

CrossMark

Funke, Schularick, and Trebesch, "Going to Extremes: Politics after Financial Crises, 1870–2014," *European Economic Review*, 2016.

In the five years after a financial crisis, far-right parties' vote share grows by about a third: a party that won 10 percent before the crisis wins about 13 percent after it. Ordinary recessions do not produce this jump.

Why would a banking crisis matter more?

# What do your friends mean by socialism?

1. **Think** of a friend or acquaintance who says socialism would work better than capitalism.
2. **Describe** what that person most wants changed. Share with a partner.
3. **Discuss** whether the complaint fits Wolf’s explanation - or if something else is the main factor.
4. **Decide** what 1) a company and 2) a government could do to earn that person’s trust.

**15 minutes · Individual then pairs · Reading permitted**

In 2026, 69 percent of adults aged 18 to 34 viewed “free enterprise” positively, but only 43 percent viewed capitalism positively. What does that gap tell us about what some young people don’t like?

# How does globalization produce political backlash?

Offshoring raises national income through wage arbitrage, but the losses fall on particular workers.

Those losses spill over into the local economies where the workers live, and those places turned to populists.

After 2008 economic stagnation left most households' earnings flat for years.

A corporate bailout rescued the banks while families lost homes and jobs, which turned disappointment into distrust of elites.

This distrust weakens democratic capitalism; young adults now rate socialism above capitalism.